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ITEM WISE EDITORIALS

30th October, 2017

44th WEEK

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ABENOMICS & JAPAN

UPSC CSE – GS II

GS II... EFFECT OF POLICIES OF DEVELOPED COUNTRIES ON INDIA'S INTERESTS.

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THE HINDU

NEWSPAPER EDITORIALS

... DISCUSSION

30th OCTOBER, 2017

7

SINGLE FILE

More Abenomics

Its objectives could be thrown into jeopardy unless reforms are given a rigorous push

Garimella Subramaniam

Within days of being elected for a third term to lead the world's third largest economy, Japanese Prime Minister Shinzo Abe has declared a war on low wages by urging the private sector to implement a 3% pay rise from next year. This bold intervention could infuse substance to the third arrow (structural reforms) of 'Abenomics' as part of the broader strategy to unshackle Japan from two decades of on and off deflation. Monetary easing and fiscal stimulus are the other two elements of the now widely acclaimed three-pronged strategy launched in 2012 to meet a 2% rate of inflation and boost growth. Accordingly, the Bank of Japan's (BoJ) policy of negative interest rates and quantitative easing – the purchase of sovereign bonds worth trillions of yen – to stoke the current nearly zero rate of inflation has yielded spectacular results. For instance, the country recorded an unbroken six consecutive quarters of growth until June in gross domestic product (GDP), the longest spell in over a decade. The 4% annualised growth in the April to June quarter was remarkable in a predominantly export-driven economy, underpinned as it was by a boost in domestic demand and private consumption.

Similarly, Japan's current labour market conditions are said to be the strongest since 1974, with unemployment hovering below 3%. But prices have evidently not kept pace with these improvements as inflation has remained close to zero, underscoring the limits to how much ultra-loose monetary policy by itself can do to trigger demand. In fact, the BoJ has repeatedly deferred its decision to achieve the 2% target rate. Another instance is the lack of rise in wages commensurate with the growth in employment, impacting prices and consumption.

For a fourth arrow

Against this backdrop, there is growing perception that the objectives of Abenomics could be thrown into jeopardy unless reforms are given a rigorous push. On the strength of a massive mandate, Mr. Abe has now specified an annual 3% pay rise, unlike his more general pleas in the past for hikes larger than the previous year. Such a direct appeal echoes the International Monetary Fund's 2016 suggestion to designate pay rise as a fourth arrow of Abenomics, when it argued for an incentive-based annual 3% wage increase. Mr. Abe's call will further strengthen the bargaining power of trade unions, which, during annual wage negotiations, have sought to counteract the effects of the controversial 2014 hike in consumption tax. Potentially more radical perhaps is the IMF's recent appeal to the government to push further on reforms to the labour market – in particular, the disparities between the country's full-time employees and temporary staff. There has been a decline in Japan's population in the working age, and the country stands 111th in the World Economic Forum's ranking of gender equality. It needs a transformation of cultural attitudes to maintain its industrial might. Clearly, Japan is moving further and further away from the "lost decade" of the 1990s. The question is only how far and how fast.

THE HINDU

INDIA'S NATIONAL NEWSPAPER SINCE 1878

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7 More Abenomics - GARIMELLA SUBRAMANIAM

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North Korea
South Korea
CHINA
Sea of Japan
Tsugaru Strait
North Pacific Ocean
JAPAN
East China Sea
North Pacific Ocean

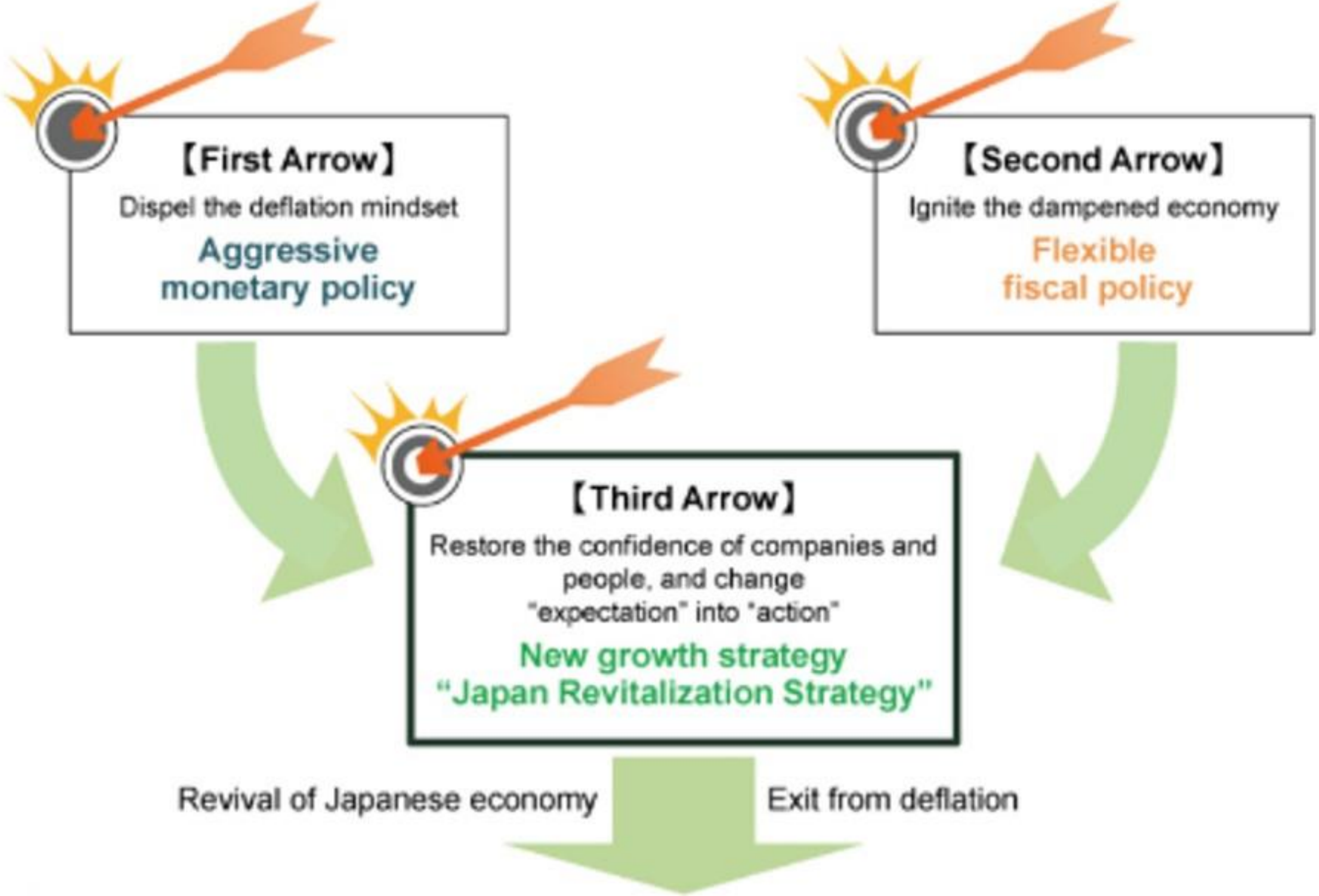
ABENOMICS

1. It is the multi-pronged economic programme of the Japanese Prime Minister.

2. It seeks to remedy two decades of stagnation by increasing the nation's money supply.

3. It is also a plan to boost Government spending by enacting the reforms to make the economy more competitive.

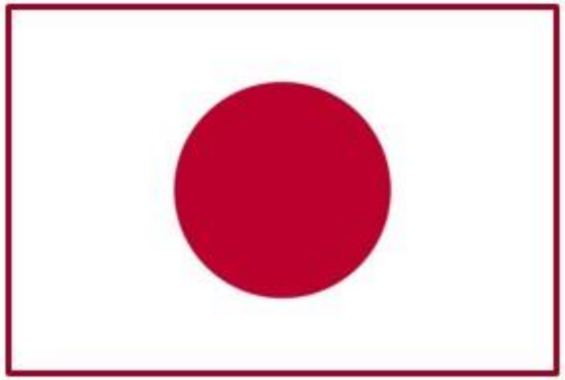
4. There are three arrows for the Abe's Programmee—
   - Printing additional currency between 60 trillion yen to 70 trillion yen to make Japanese exports more attractive and generate modest inflation.
   - The second arrow entails new Government spending programmes to stimulate demand.
   - Reforms of various regulations to make Japanese industries more competitive, which include companies firing ineffective workers.


【First Arrow】
Dispel the deflation mindset
Aggressive monetary policy
【Second Arrow】
Ignite the dampened economy
Flexible fiscal policy
【Third Arrow】
Restore the confidence of companies and people, and change "expectation" into "action"
New growth strategy "Japan Revitalization Strategy"
Revival of Japanese economy
Exit from deflation

NEWS REPORT

- Shinzo Abe was elected for third term to lead the world's third largest economy.
- He declared a war on low wages by urging the private sector to implement a 3% pay rise from next year.
- This is bold intervention and it gives meaning to the third arrow of structural reforms of 'Abenomics'.
- The remaining two are Monetary easing and Fiscal stimulus.
- This three-pronged strategy was launched in 2012 to meet a 2% rate of inflation and boost growth.

BANK OF JAPAN



FIRST ARROW ... MONETARY POLICY

1. Bank of Japan's Policy of negative interest rates and quantitative easing worth trillions of yen has given spectacular results.
2. The Country recorded unbroken six consecutive quarters of growth.
3. The 4% growth in the recent quarter is remarkable. Unemployment is hovering below 3%.

But the two problems it faced was lack of rise in wages and achieving 2% target inflation, which is hovering around "zero" at present.

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EDITORIAL DISCUSSION

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PAY RISE ... FOURTH ARROW

1. IMF in 2016 suggested to designate Pay Rise as a fourth arrow of Abenomics.
2. IMF argued for an incentive-based annual 3% wage increase.
3. Now Mr. Abe's decision will further strengthen the bargaining power of trade unions
4. IMF also appeal to the Government to push further on the reforms to the labour market.
5. The disparities between the country's full-time employees and the temporary staff is to be bridged.
6. There is a decline in Japan's population in the working age.
7. The Country stands 111th in the World Economic Forum's ranking of gender equality.

Clearly it indicates that, Japan is moving further and further away from the "lost decade" of 1990s and the critical question is how fast it will reach that stage.

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